COURSE

Cambridge IGCSE Business (0450 / 0264)

Promotion

3 Marketing · 3.3 Marketing mix: promotion

Revision for 3 Marketing: each firm works it out on its own deals.

Class **Cambridge IGCSE Business (0450 / 0264)** Topic **Promotion**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	**Topic task 1**	**Topic task 2**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	**Topic task 3**	**Topic task 4**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	**Topic task 5**	**Topic task 6**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

An advert for these cars.

Profit from the advert? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

The advert costs	**£1,500**
Extra sales from it	**5 cars**
Margin per car	**£1,400**

METHOD

Profit = extra sales × margin per car − advert cost

5 × £1,400 − £1,500 = £5,500

Why: 5 extra cars bring £7,000 for a £1,500 advert.

Task 2

ROUND 1

You ran a local radio advert last month.

Which two show it was worth the cost?

PICK TWO

- ✔ **Extra profit above its cost**
- ○ It cost less than last year's
- ○ More people heard it
- ✔ **Sales it brought from new buyers**
- ○ The advert won an award

Why: An advert pays when its extra sales earn more than it cost.

Task 3

ROUND 2

Three adverts: what each cost, and the sales it brought.

Order by cost per sale, cheapest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Social: £800, 8 sales**
2. **Paper: £600, 4 sales**
3. **Radio: £1,500, 6 sales**

Why: Cost ÷ sales: £100, £150, £250. The cheapest advert is not the best value.

Task 4

ROUND 2

Pick one of two adverts.

Profit from the more profitable advert?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Radio advert, 4 extra cars	**£3,000**
Social advert, 5 extra cars	**£1,500**
Margin per car	**£1,900**

METHOD

Each advert: extra cars × margin – its cost; take the higher

Radio £4,600, social £8,000: £8,000

Why: The cheaper advert is not always the better one.

Task 5

ROUND 3

A TV advert reaches 50,000 people for £2,000. A trade paper reaches 5,000 local car buyers for £800.

Which advert should you pick, and why?

PICK A OR B AND GIVE A REASON

- ✔ **The trade paper**
- ○ The TV advert

Why: The paper reaches the people who buy from you, at less cost.

Task 6

ROUND 3

Pick one of two adverts.

Profit from the more profitable advert?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Radio advert, 24 enquiries	**£1,250**
Social advert, 20 enquiries	**£2,250**
Enquiries that buy	**NaN el**
Margin per car	**£1,800**

METHOD

Each advert: enquiries that buy × margin – its cost; take the higher

Radio 6 × £1,800 − £1,250 = £9,550; social £6,750

Why: Enquiries are not sales: count the cars that sell.

Final questions

6
questions for each pupil

159
Level 2 Business questions

4
of them on promotion

The game draws 6 of the 159 Level 2 questions; these 4 are about promotion.

1 A small dealer wants to reach nearby customers who are actively searching online for a used car. Which promotional choice is most precisely targeted?
A local search advert linked to live vehicle stock.

2 Which is a sales promotion rather than long-term advertising?
A two-week free MOT offer.

3 The Sales lead promotes a specialist wheelchair-accessible vehicle to a narrow professional and user audience. Which channel is most suitable?
Targeted mobility trade and community channels used by that audience.

4 Promotion tells customers what a business sells and persuades them to buy. A dealer wants local trades who do not know it to learn it services vans. Which suits best?
An advert in a local trade magazine van operators read.